

Direct Method

**Campus Products
Statement of Cash Flows
For Year-Ended December 31, 2020**

Operating transactions:

Cash inflows:	Collections from customers	\$ 15,000	
Cash outflows:	Payments to suppliers	(9,000)	
	Payments for operating costs	(17,000)	
	Payments for interest	(2,500)	
	Payments for income taxes	<u>0</u>	
	Net cash flows from operations		(\$13,500)

Investing transactions:

Cash inflows:	Sales of property, plant & equipment	0	
Cash outflows:	Purchase of property, plant & equipment	(40,000)	
	Net cash flows from investing		(\$40,000)

Financing transactions

Cash inflows:	Proceeds from sale of equity	35,000	
	Proceeds from bank financing	30,000	
Cash outflows:	Debt repayment	<u>(7,500)</u>	
	Net cash flows from financing activities		<u>\$57,500</u>

Net change in Cash (1/1/20 - 12/31/20)	<u><u>\$4,000</u></u>
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Campus Products
Statement of Cash Flows – Operations
For Year-Ended December 31, 2020

Indirect Method

Operating Transactions

Net Income

Adjustments to reconcile earnings to cash flows:

Add: Depreciation

Increase in Accounts Payable

Increase in Taxes Payable

Decrease in Accounts Receivable

Decrease in Inventory

Subtract: Increase in Accounts Receivable

Increase in Inventory

Decrease in Accounts Payable

Decrease in Taxes Payable

Net cash flows from Operations

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The Investing and Financing sections of a statement of cash flows are unaffected by use of the direct or indirect method for determining OCF.

Suggested Procedure for Preparing OCF (indirect):

1. Since the indirect method of preparing OCF involves adjustment to accrual based earnings, let's start the statement with "bottom line" net income.
2. Sequentially move down the income statement and identify (a) all items that had an impact on accrual earnings but did not have an effect on cash flows (e.g., depreciation and amortization expenses, write-offs for discontinued operations, cumulative effect of accounting changes or adoption of a new accounting standard) and (b) all other income statement items not related to "operations" that did not have an equal cash flow effect (e.g. gain from sale of buildings). Adjust the net income number for these items (i.e., reverse their income effect).
3. Make adjustments for the period's changes in all non-cash current assets and current liabilities associated with "operations" (e.g., current maturity of long-term debt is a non-operating item). Increases in current assets and decreases in current liabilities represent decreases to cash while decreases in current assets and increases in current liabilities are increases to cash.

**Campus Products
Income Statement
For Year-Ended December 31, 2020**

	ACCRUAL	CASH
Sales Revenue [Sales (\$49,000) - Accounts Receivable (\$34,000)] =	\$49,000	_____
Cost of Sales [Cost of Inventory Purchased]	(5,100)	_____
Gross Profit	43,900	_____
LESS:		
Operating Expenses [Operating Expenses (\$20,000) - Accounts Payable (\$3,000)] =	(20,000)	_____
EBITDA	23,900	_____
LESS:		
Depreciation Expense	(8,000)	_____
EBIT	15,900	_____
LESS:		
Interest Expense (\$500 + \$2,000)	(2,500)	_____
EBT	13,400	_____
LESS:		
Tax Expense:	(3,000)	_____
Net Income	\$10,400	=====

EBITDA = Operating Income
= Earnings Before Interest, Taxes, Depreciation, Amortization